NOTE 11: Income Taxes

As discussed in "Note 2: Summary of Significant Accounting Policies," Valero L.P. and Valero Logistics Operations are limited partnerships and are not subject to federal or state income taxes. However, the operations of the Ultramar Diamond Shamrock Logistics Business were subject to federal and state income taxes and the results of operations prior to July 1, 2000 were included in UDS' consolidated federal and state income tax returns. The amounts presented below relate only to the Ultramar Diamond Shamrock Logistics Business and were calculated as if the Ultramar Diamond Shamrock Logistics Business filed separate federal and state income tax returns.

The transfer of assets and liabilities from the Ultramar Diamond Shamrock Logistics Business to Valero Logistics Operations was deemed a change in tax status. Accordingly, the deferred income tax liability as of June 30, 2000 of $38,217,000 was written off through the statement of income in the caption, benefit (provision) for income taxes.

The benefit (provision) for income taxes consisted of the following:

	Predecessor	
	Six Months Ended June 30, 2000	Year Ended December 31, 1999
	(in thousands)	
Current:		
Federal	$ (5,132)	$ (20,036)
State	(733)	(2,863)
Deferred:		
Federal	(1,415)	(3,327)
State	(125)	(295)
Write-off of the deferred income tax liability	38,217	—
Benefit (provision) for income taxes	$ 30,812	$ (26,521)

Deferred income taxes arise from temporary differences between the income tax bases of assets and liabilities and their reported amounts in the financial statements. The components of the Ultramar Diamond Shamrock Logistics Business' net deferred income tax liability consisted of the following:

	Predecessor
	June 30, 2000
	(in thousands)
Deferred income tax liabilities:	
Excess of book basis over tax basis of:	
Property, plant and equipment	$ 36,212
Investment in affiliate	2,960
Total deferred income tax liabilities	39,172
Deferred income tax assets—	
Accrued liabilities and payables	(955)
Net deferred income tax liability	$ 38,217

The differences between the Ultramar Diamond Shamrock Logistics Business' effective income tax rate and the U.S. federal statutory rate is reconciled as follows:

	Predecessor	
	Six Months Ended June 30, 2000	Year Ended December 31, 1999
U.S. federal statutory rate	35.0%	35.0%
State income taxes, net of federal taxes	3.1	3.1
Non-deductible goodwill	0.3	0.2
Effective income tax rate	38.4%	38.3%

Income taxes paid to UDS totaled $5,865,000 and $22,899,000 for the six months ended June 30, 2000 and for the year ended December 31, 1999, respectively.

The differences between net income and taxable net income are reconciled as follows:

	Predecessor	
	Six Months Ended June 30, 2000	Year Ended December 31, 1999
	(in thousands)	
Net income	$ 49,970	$ 42,798
(Benefit) provision for income taxes	(30,812)	26,521
Tax depreciation and amortization in excess of book depreciation and amortization	(3,076)	(7,990)
Book equity income in excess of taxable income of Skelly-Belvieu	(567)	(790)
Other, net	(983)	(3,288)
Taxable net income	$ 14,532	$ 57,251